Type MS · Span of control, chain of command and delegation

Answer 1 of 12 · Question 2 part e · 3 marks

2019 JUN · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason for a non-financial objective in the context of the business. • Social objectives of working with the local area and helping children and communities **(1)**. • *Tata Motor Company* wants a good image of producing a car that does not harm the environment too much **(1)**. **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason of employing casual staff in the context of the business. • When *Tata Motor Company* is busy, with many new orders for its vehicles **(1)**. • When someone is off on long-term sick from the production line **(1)**. **Accept any other appropriate response.**	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 1 of 12 · Question 2 part e · 3 marks

2019 JUN · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a reason for using fringe benefits, plus 2 further marks for explaining why fringe benefits are beneficial for a business, for a maximum of 3 marks. • Employees will be motivated. **(1)** This could lead to improvement in productivity **(1)** and higher sales **(1).** NB Answers that list three benefits with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a reason to use job production, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Job production is used to produce a unique piece of work. **(1)** It is made to meet the exact needs of the customer **(1)** that requires time and skills of the employees **(1).** Answers that list three reasons with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response**.	**(3)**

Type MS · Span of control, chain of command and delegation

Answer 1 of 12 · Question 2 part e · 3 marks

2019 JUN · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit of a short chain of command, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • A short chain of command means that communication between workers and managers is less **(1)**. Therefore there is less chance of messages being mistaken **(1)**. Managers are less remote and therefore if there is a problem they can sort it out quicker **(1)**. Answers that list three benefits of short chains of commands with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Span of control, chain of command and delegation

Answer 1 of 12 · Question 2 part e · 3 marks

2019 JUN · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – With cost plus pricing *Tata Motor Company* know that the cost of making the vehicle has been covered. • **Option 2** – If *Tata Motor Company* uses promotional pricing it is a good strategy for selling new vehicles. **AO3** • **Option 1** – *Tata Motor Company* knows that if the cars are selling well it is making money, which means more profit for the business. • **Option 2** – The lower price from the promotional price will result in higher sales. **AO4** • **Option 1** – Although this type of pricing method guarantees a profit on the cost of manufacturer it does not guarantee that sales are going to be made, especially if a competitor is cheaper, therefore selling more vehicles. • **Option 2** - Even though the sales may be higher, the profit per vehicle will be lower.	**(9)**

Type MS · Span of control, chain of command and delegation

Answer 1 of 12 · Question 2 part e · 3 marks

2019 JUN · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Span of control, chain of command and delegation

Answer 1 of 12 · Question 2 part e · 3 marks

2019 JUN · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark

Type MS · Span of control, chain of command and delegation

Answer 2 of 12 · Question 1 part d · 1 mark

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is D - Manufacture of finished goods** A is not correct because production does not provide services B is not correct because production is not the exchange of goods C is not correct because extraction of raw materials is not production	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **The only correct answer is B - The person is given support from an established business** A is not correct because a franchise cannot buy supplies from anyone C is not correct because a franchise is not guaranteed a set wage D is not correct because the profits are not shared in a franchise	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 = 1 mark** **The only correct answer is D - 50.94%** A is not correct because 6.63% calculation incorrect B is not correct because 1 600 / 1 060 = 15.09 C is not correct because 1 600 – 1 060 = 0.52 / 1 600 = 33.75%	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 2 of 12 · Question 1 part d · 1 mark

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark
1 (a)(iv)	**AO1 = 1 mark** **The only correct answer is A - Higher loan repayments** B is not correct because a bank increasing the interest rates does not affect labour costs C is not correct because a bank increasing interest rates would possibly reduce net cash flow D is not correct because a bank increasing interest rates would possibly reduce sales	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **The only correct answer is B - It is funded by government** A is not correct because a public corporation is not owned by the directors C is not correct because a public corporation does not aim to maximise profit D is not correct because a public corporation is accountable to the public	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **The only correct answer is C - £980 000** A is not correct because - £40 000 is cash inflow minus outflow B is not correct because £40 000 is outflow minus inflow D is not correct because opening balance £1020 000 plus outflow £400000 minus inflow £360 000	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 2 of 12 · Question 1 part d · 1 mark

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of commission. • Payment made to an employee linked to the number of sales made (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of revenue. • Money from the sale of goods/services (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a valid reason for having a short span of control in the context of the business. • This allows the directors of *HRMW* to communicate with all manufacturing departments such as boxing gloves and hockey sticks (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 92 322 – 85 083 = 7 239 (1) 7 239/85 038 = 8.51% (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Span of control, chain of command and delegation

Answer 2 of 12 · Question 1 part d · 1 mark

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a reason for sponsoring an event, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Sponsorship is making a financial contribution to an event (1). This makes more people aware of the business's products (1). This could, in turn, increase sales of those products (1). Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • It differentiates its football products from those of its competitors. • It helps customers to recognise its own logo that appears on all its products. **AO3** • Advertising the footballs is easier because customers are aware of the brand name and the quality of products. • Customers are more likely to buy a *HRMW* hockey stick, rather than an unbranded product, when they see the logo.	**(6)**

Type MS · Span of control, chain of command and delegation

Answer 2 of 12 · Question 1 part d · 1 mark

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Span of control, chain of command and delegation

Answer 2 of 12 · Question 1 part d · 1 mark

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark

Type MS · Span of control, chain of command and delegation

Answer 3 of 12 · Question 1 part b · 1 mark

2021 JUN · Paper 02 · extract 1 of 7 · find part b in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **1 (a) (i) The only correct answer is C** **A** is not correct because primary is extracting raw materials **B** is not correct as secondary is the manufacturing of the goods **D** is not correct as quarternary is not a section in retail under this word	**(1)**

Question Number	Which **one** of the following would be used to select a group of applicants for interview? Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **1 (a) (ii) The only correct answer is B** **A** is not correct because training as this is carried out once the applicant has obtained the job **C** is not correct because marketing it is not involved in interviewing **D** is not correct because advertising is not involved in interviewing	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 3 of 12 · Question 1 part b · 1 mark

2021 JUN · Paper 02 · extract 2 of 7 · find part b in this mark scheme extract

Question Number	Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses? Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **1 (a) (iii) The only correct answer is D** **A** is not correct 5 101 is 5000 + 101.10 **B** is not correct 5 674 is 5000 + (100 x 6.74) **C** is not correct 33 700 is 5000 x 6.74	**(1)**

Question Number	Which **one** of the following describes Kaizen? Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **1 (a) (iv) The only correct answer is D** **A** is not correct as skilled manufacturing is making the product **B** is not correct as JIT is the arrival of materials in time for manufacture **C** is not correct as market orientated is not related to production	**(1)**

Question Number	What is the percentage increase, to two decimal places, of online customers from 2017 to 2018? Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **1 (a) (v) The only correct answer is C 4.26%** **A** is not correct 2.00% is (4.9 – 4.7) x 10 **B** is not correct 4.08% is 4.9 + 4.7 = 9.6 x 4.26/ 10 **D** is not correct 4.70% is 4.7 million as a percentage	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 3 of 12 · Question 1 part b · 1 mark

2021 JUN · Paper 02 · extract 3 of 7 · find part b in this mark scheme extract

Question Number	Which **one** of the following is a benefit of buying a franchise? Answer	Mark
1 (a) (vi)	**AO1 - 1 mark** **1 (a) (vi) The only correct answer is A** **B** is not correct as franchisee pay the same rate of VAT **C** is not correct as the franchisor does not pay the franchisee to set up **D** is not correct as a franchisee does not make his/her own decisions	**(1)**

Question Number	Define the term **delegation**. Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of delegation. • The passing of responsibility to a subordinate **(1)**	**(1)**

Question Number	Define the term **venture capital**. Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of venture capital. • Venture capital is a type of risk capital available to start-up businesses **(1)**	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 3 of 12 · Question 1 part b · 1 mark

2021 JUN · Paper 02 · extract 4 of 7 · find part b in this mark scheme extract

Question Number	State **one** reason why *NEXT* might use cost plus pricing. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of using cost plus pricing in the context of the business. • *NEXT* may use this method as the mark up can be different in the 70 countries it operates/sells in **(1)** • *NEXT* may use cost plus pricing to ensure that a profit is made on each dress sold **(1)** **Accept any other appropriate response.**	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 3 of 12 · Question 1 part b · 1 mark

2021 JUN · Paper 02 · extract 5 of 7 · find part b in this mark scheme extract

Question Number	Calculate the predicted sales for next year. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 727 000 000 x 1.032 **(1)** = 750 264 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** disadvantage for a business that does not achieve its predicted growth. Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business that does not achieve its predicted growth, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Shareholders may not be very happy **(1)** because if the business does not reach its predicted growth they may not receive dividends **(1)** and this may mean that they invest in other businesses **(1)** • If the business does not achieve its predicted growth it may not be able to expand **(1)** this means that it may lose some market share **(1)** as customers could go elsewhere **(1)** NB Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Span of control, chain of command and delegation

Answer 3 of 12 · Question 1 part b · 1 mark

2021 JUN · Paper 02 · extract 6 of 7 · find part b in this mark scheme extract

Question Number	Analyse the benefits to *NEXT* of training all its employees. Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If *NEXT* trained all its employees, then they are trained in a consistent fashion so that they can operate in the same way across 70 countries • Employees attending these training sessions will gain customer service skills they can use in *NEXT* shops **AO3** • This means that all employees work to the same standards set by *NEXT* • These new customer service skills allow employees to improve their sales techniques and this could lead to increased sales for *NEXT*	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Span of control, chain of command and delegation

Answer 3 of 12 · Question 1 part b · 1 mark

2021 JUN · Paper 02 · extract 7 of 7 · find part b in this mark scheme extract

Question Number	State **one** reason why *NEXT* would want to promote its own employees. Answer	Mark

Type MS · Span of control, chain of command and delegation

Answer 4 of 12 · Question 1 part d · 1 mark

2022 JUN · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **C** Cash flow A – a mortgage is a loan B – break-even does not show money in and out of a business – it is the point at which total costs and revenue are the same D – Profit and loss – profit is money left after sales and loss is when there is less money made than it cost	**(1)**

Question Number	Which **one** of the following could a person complete when applying for a job? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **A** Application form B – Shortlisting is the process of deciding which applicants to interview C – Job description gives of the job for which applicants can apply D Person specification gives details of the type of person required for the job	**(1)**

Question Number	Which **one** of the following is the correct statement? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **C** Loss of 550 000 A – Total costs has incorrectly been calculated using revenue + variable costs + fixed costs B – Cash inflow has incorrectly been calculated by doing variable costs minus fixed costs D – Profit is incorrect as this calculates revenue minus variable costs	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 4 of 12 · Question 1 part d · 1 mark

2022 JUN · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Which **one** of the following is a benefit of being a franchisee? **Answer**	**Mark**
1 (a)(iv)	**AO1 - 1 mark** **B** Selling an established brand A – You cannot choose your own suppliers as a franchise C – You would still have to pay interest on any bank loans whether a franchisee or not D – You do not have complete control of the business if you are a franchisee the franchisor does	**(1)**

Question Number	Which **one** of the following is the percentage increase from 2019 to 2020? **Answer**	**Mark**
1 (a) (v)	**AO2 - 1 mark** **D** 6% A – is 2.31 ÷ 38.5 = 0.06% B – is 40.81 ÷ 38.5 = 1.06% C – is 40.81 – 38.5 = 2.31%	**(1)**

Question Number	Which **one** of the following functional areas could help employees who had a problem with their wage? **Answer**	**Mark**
1 (a)(vi)	**AO1 - 1 mark** **B** Finance A – Production is making goods C – Marketing is about identifying, anticipating and satisfying customer requirements profitably D – Sales is selling the goods to customers	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 4 of 12 · Question 1 part d · 1 mark

2022 JUN · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Define the term **break-even**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **break-even**. • When costs and revenue are the same **(1)** • When total costs are the same as total sales **(1)**	**(1)**

Question Number	Define the term **public corporation**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **public corporation** • Owned by the state/central government **(1)**	**(1)**

Question Number	State **one** benefit for *LEGO* of having a short span of control. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid benefit for having a short span of control in the context of the business. • By reducing the levels communication between the managers of the 15 factories and the Danish HQ could lead to fewer mistakes **(1)** • Allows all 18,000 world-wide employees to make suggestions about the new products **(1)** **NB** Do not accept a benefit that is not in the context of LEGO. **Accept any other appropriate response**	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 4 of 12 · Question 1 part d · 1 mark

2022 JUN · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	Calculate, to two decimal places, the cost of making the pineapple pencil holders. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 148 ÷ 115 = 1.287 **(1)** 1.287 × 100 = 128.70 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** disadvantage of using questionnaires as a method of market research. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage of using a questionnaire, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • If the questionnaire is too long **(1)** people may be reluctant to complete them **(1)** and may not give true answers **(1)** • If there are too many questions then people may not focus properly **(1)** and this could result in a low rate of return **(1)** therefore not giving the information required **(1)** NB No marks are awarded for a definition. Answers that list three disadvantages with no explanation will get a 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Span of control, chain of command and delegation

Answer 4 of 12 · Question 1 part d · 1 mark

2022 JUN · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Question Number	Analyse the benefits for *LEGO* of being a multinational business. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *LEGO* can sell its Harry Potter toys around the world • The arts and craft materials can be produced in the most cost-effective location for *LEGO* **AO3** • This means that *LEGO*'s global market will increase compared to rivals • Thus reducing the average total cost and leading to a larger profit margin	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Span of control, chain of command and delegation

Answer 4 of 12 · Question 1 part d · 1 mark

2022 JUN · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	State **one** financial objective for *LEGO*. **Answer**	**Mark**

Type MS · Span of control, chain of command and delegation

Answer 5 of 12 · Question 3 part a · 1 mark

2022 JUN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **delegation** • The passing of work from a superior to a subordinate **(1)**	**(1)**

Question Number	Outline **one** benefit to *LEGO* of being a privately-owned family business. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a benefit for *LEGO of* being a family owned business, plus 1 further mark for linking it to the context of the question. • This means that since 1932 the Kritiansen family have continuously run *LEGO as a* privately owned business **(1)** which gives *LEGO* stability and continuity **(1)** **NB** Do not accept a benefit that is not in the context of *LEGO.* **Accept any other appropriate response.**	**(2)**

Question Number	Calculate the employee's new salary. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 150 000 x 0.045 = 6 750 **(1)** 150 000 + 6 750 = 156 750 **(1)** **OR** 150 000 x 1.045 **(1)** = 156 750 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Span of control, chain of command and delegation

Answer 5 of 12 · Question 3 part a · 1 mark

2022 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Analyse how *LEGO* could use a Statement of Comprehensive Income when considering the development of new toys. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Statement of Comprehensive Income gathers data from all 15 worldwide *LEGO* factories • *LEGO* can use the information to see its financial position when introducing the new Star Wars Princess Leia toy and whether it has sufficient funds **AO3** • This will enable *LEGO* to see if it is making a sufficient profit margin compared to other toy makers such as Disney allowing it to alter its pricing strategy • Introducing a new toy is expensive as there are costs of design and development as well as producing the toy before it goes on sale to the public	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Span of control, chain of command and delegation

Answer 5 of 12 · Question 3 part a · 1 mark

2022 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	**Option 1:** on-the-job training **Option 2:** off-the-job training. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – The cost of training is reduced as employees remain on the premises producing the Princess Leia toy whilst being trained • **Option 2** – When employees are trained by experts off site, they gain new skills and see new production methods not seen in the 15 *LEGO* factories **AO3** • **Option 1** – Employees gain in confidence as they are trained by staff they know whilst at *LEGO* • **Option 2** – Employees can gain new skills from experts, resulting in fewer errors thus improving the number of toys produced in each factory **AO4** • **Option 1** – However, this can be time consuming and prevents the skilled employees from carrying out their job efficiently • **Option 2** – However, the new employees may not gain the specific skills and knowledge which are needed for designing the new Star Wars toys for *LEGO*	**(9)**

Type MS · Span of control, chain of command and delegation

Answer 5 of 12 · Question 3 part a · 1 mark

2022 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Span of control, chain of command and delegation

Answer 5 of 12 · Question 3 part a · 1 mark

2022 JUN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Calculate, to two decimal places, the current ratio in 2019. **Answer**	Additional guidance	Mark

Type MS · Span of control, chain of command and delegation

Answer 6 of 12 · Question 1 part c · 1 mark

2023 NOV · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C** **A** is not the correct answer as sales is shown on the statement of comprehensive income **B** is not the correct answer as cost of sales is shown on the statement of comprehensive income **D** is not the correct answer as gross profit is shown on the statement of comprehensive income	**(1)**

Question Number	Which **one** of the following is an element of the marketing mix? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A** **B** is not the correct answer as a partnership is when 2 or more people own a business together **C** is not the correct answer as production is the manufacturing of goods **D** is not the correct answer as profit is the difference between total revenue and total costs	**(1)**

Question Number	**(iii)** Which **one** of the following is the total monthly cost? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D** **A** is not the correct answer as it is the sum of total fixed costs and variable costs for one unit **B** is not the correct answer as it is the sum of fixed costs plus output quantity **C** is not the correct answer as it is the sum of fixed costs multiplied by the variable cost	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 6 of 12 · Question 1 part c · 1 mark

2023 NOV · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Which **one** of the following job roles is most likely associated with capital-intensive production? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B** **A** is not the correct answer as the role of a hairdresser is labour intensive **C** is not the correct answer as the role of a fruit picker is labour intensive **D** is not the correct answer as the role of a chef is labour intensive	**(1)**

Question Number	Which **one** of the following is an internal source of finance? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is C** **A** is not the correct answer as an overdraft is an external source of finance **B** is not the correct answer as venture capital is an external source of finance **D** is not the correct answer as crowdfunding is an external source of finance	**(1)**

Question Number	Which **one** of the following is the weekly break-even point? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C** **A** is not the correct answer as this represents the wrong fixed costs of 44 000 divided by the contribution of 5 500 **B** is not the correct answer as this represents the fixed costs of 440 000 divided by the selling price of 8 000 **D** is not the correct answer as this represents the fixed costs of 440 000 divided by the variable cost per unit of 2 500	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 6 of 12 · Question 1 part c · 1 mark

2023 NOV · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Define the term **profit.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **profit** • The amount remaining when total costs are deducted from total revenue **(1)**	**(1)**

Question Number	Define the term **span of control.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **span of control**. • The number of workers controlled by one manager **(1)**	**(1)**

Question Number	State **one** likely variable cost for *AWG.* **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for one variable cost for *AWG* • *AWG* will have to pay for the cost of wool used to make the jumpers **(1)** **NB** Do not accept a variable cost that is not in the context of *AWG*. **Accept any appropriate response.**	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 6 of 12 · Question 1 part c · 1 mark

2023 NOV · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the new price of the jumper in the promotional sale. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 329 x 0.25 = 82.25 **(1)** 329 - 82.25 = 246.75 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** benefit to a business that operates as a sole trader. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business that operates as a sole trader, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • Independence of the owner **(1)** which means they can make decision without reference to anyone else **(1)** eliminating any conflicts or disagreements within the business **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Type MS · Span of control, chain of command and delegation

Answer 6 of 12 · Question 1 part c · 1 mark

2023 NOV · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Question Number	Analyse the advantages to *AWG* of using e-commerce to sell its products. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *AWG* sells its shirts on-line to customers based in other countries • *AWG* uses a website to advertise its baby clothes to attract new customers **AO3** • This helps create recognition of the business internationally allowing *AWG* to increase its sales revenue. • This helps to reduce the costs for *AWG* as selling online is less expensive than opening stores in other countries.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Span of control, chain of command and delegation

Answer 6 of 12 · Question 1 part c · 1 mark

2023 NOV · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	State **one** non-financial method *AWG* may use to motivate its employees. **Answer**	**Mark**

Type MS · Span of control, chain of command and delegation

Answer 7 of 12 · Question 1 part d · 1 mark

2024 NOV · Paper 02 · extract 1 of 8 · find part d in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D –** When total costs and total revenue are the same **A** – is not the correct answer as fixed and variable costs would not break-even **B** – is not the correct answer as total costs and fixed costs would not break-even **C** – is not the correct answer as fixed costs and total revenue would not break-even	**(1)**

Question Number	Which **one** of the following is a benefit to a franchisee? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is B –** The franchisee is given support from the franchisor **A** – is not the correct answer as the franchisee can only buy from the franchisor **C** – is not the correct answer as the wage will depend on sales made **D** – is not the correct answer as it is the franchisor who has total control	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 7 of 12 · Question 1 part d · 1 mark

2024 NOV · Paper 02 · extract 2 of 8 · find part d in this mark scheme extract

Question Number	Which **one** of the following is an advantage of job production when compared to other methods of production? **Answer**	Mark
1 (a) (iii)	**AO2 - 1 mark** **The only correct answer is A** – Workers will be better motivated **B** – is not the correct answer as production speeds will be slower **C** – is not the correct answer as the unit costs will be different for each product made **D** – is not the correct answer as more training will be needed for job production	**(1)**

Question Number	Which **one** of the following would be the total amount paid by a customer for a room? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is D –** 406.25 **A** – is not the correct answer as 81.25 is 25% of the 325 **B** – is not the correct answer as 243.75 is 325 minus 81.25 **C** – is not the correct answer as 350 is 325 plus 25	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 7 of 12 · Question 1 part d · 1 mark

2024 NOV · Paper 02 · extract 3 of 8 · find part d in this mark scheme extract

Question Number	Which **one** of the following is the percentage increase in revenue from 2021 to 2022. **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C –** 209.62% **A** – is not the correct answer as 5.23% is 772.80 – 249.60 = 523.20/100 **B** – is not the correct answer as 67.70% is 772.80 – 249.60 = 523.20/772.80 x 100 **D** – is not the correct answer as 523.20% is 772.80 – 249.60	**(1)**

Question Number	Which **one** of the following is an internal source of finance for a business? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** **The only correct answer is C –** Personal savings is the only correct answer **A** - is not the correct answer as Crowdfunding is an external source of finance **B** – is not the correct answer as Loan capital is an external source of finance **D** – is not the correct answer as Venture capital is an external source of finance	**(1)**

Question Number	Define the term **job description.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **job description.** • It shows the tasks, duties, roles and responsibilities for a named job **(1)**	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 7 of 12 · Question 1 part d · 1 mark

2024 NOV · Paper 02 · extract 4 of 8 · find part d in this mark scheme extract

Question Number	Define the term **public corporation.** Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **public corporation.** • A business owned and controlled by a state/government **(1)**	**(1)**

Question Number	State **one** reason why *Premier Inn* managers would delegate tasks to hotel employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why a *Premier Inn* managers would delegate tasks to hotel employees in the context of the business. • By delegating a task, the manager gains time to carry out other tasks such as greeting guests on arrival **(1)** • Employees may feel more motivated if they are trusted with additional jobs such as restocking the vending machines in public areas of the hotel **(1)** **NB** Do not accept a reason that is not in the context of *Premier Inn* **Accept any other appropriate response.**	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 7 of 12 · Question 1 part d · 1 mark

2024 NOV · Paper 02 · extract 5 of 8 · find part d in this mark scheme extract

Question Number	Calculate, to two decimal places, the price for the first night after the discount has been applied. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 78.09 (2) **Or** 1 mark for workings if final answer incorrect 89.25 x 0.125 = 11.16**(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Span of control, chain of command and delegation

Answer 7 of 12 · Question 1 part d · 1 mark

2024 NOV · Paper 02 · extract 6 of 8 · find part d in this mark scheme extract

Question Number	Explain **one** advantage of using focus groups when carrying out market research. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage of using focus groups when carrying out market research, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By using focus groups researchers can talk directly to the people in the group **(1)** this means that they may get a more truthful answer **(1)** which may allow researchers to gain in-depth insights into consumers' thought, feelings and motivations **(1)** • Focus groups allow a variety of people to discuss the research being carried out **(1)** detailed notes of the discussion can be taken **(1)** which can then be used and analysed at a later date **(1)** **NB** No marks are awarded for a definition. Answers that list two advantages with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Span of control, chain of command and delegation

Answer 7 of 12 · Question 1 part d · 1 mark

2024 NOV · Paper 02 · extract 7 of 8 · find part d in this mark scheme extract

Question Number	Analyse the benefits for India of these plans. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Building more hotels in India will provide greater job opportunities for the local population • The hotels will need employees with different skills such as chefs and waiters **AO3** • It will improve the overall Indian economy from increased taxes/revenue • It could reduce unemployment where the new hotels are built	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Span of control, chain of command and delegation

Answer 7 of 12 · Question 1 part d · 1 mark

2024 NOV · Paper 02 · extract 8 of 8 · find part d in this mark scheme extract

Question Number	State **one** activity carried out by the marketing functional area at *Premier Inn*. **Answer**	Mark

Type MS · Span of control, chain of command and delegation

Answer 8 of 12 · Question 3 part a · 1 mark

2025 NOV · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **span of control.** • The number of workers/subordinates a person is directly responsible for/directly controls **(1)**	**(1)**

Question Number	Outline **one** way *Ocean Vibes* may promote its business. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award up to 2 marks for linked points outlining one way *Ocean Vibes* may promote its business. Award a maximum of 1 mark if points are not linked. • *Ocean Vibes* could use a poster **(1)** to encourage visitors to book boat tours **(1)** • *Ocean Vibes* could use social media **(1)** to help reach a wider audience of potential tourists **(1)** **NB** To award 2 marks there must be linked points **and** evidence of application. **Accept any other appropriate response.**	**(2)**

Type MS · Span of control, chain of command and delegation

Answer 8 of 12 · Question 3 part a · 1 mark

2025 NOV · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Calculate the return on capital employed (ROCE). You are advised to show your working. **Answer**	Mark
3 (c)	**A02 - 2 marks** Award 2 marks for the correct answer: 75% **(2)** OR Award 1 mark for working 60 000 / 80 000 x 100 **(1)**	**(2)**

Question Number	Analyse the advantages to *Ocean Vibes* of using on-the-job training for new workers. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The new tour guides can learn from existing tours guides on the boats on how to provide its customers with an enjoyable boat tour • It will be less expensive for *Ocean Vibes* if the tour guides learn how to gather research on the wildlife from the existing guides rather than learning from an external business **AO3** • This may lead to *Ocean Vibes* meeting the specific needs of its customers to provide excellent customer service • This will reduce training costs for *Ocean Vibes* and help improve its profitability	**(6)**

Type MS · Span of control, chain of command and delegation

Answer 8 of 12 · Question 3 part a · 1 mark

2025 NOV · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Span of control, chain of command and delegation

Answer 8 of 12 · Question 3 part a · 1 mark

2025 NOV · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	**Option 1:** Employ part-time tour guides instead of full-time tour guides **Option 2:** Reduce the rate of commission paid to its sales team. Justify which **one** of these two options *Ocean Vibes* should choose to increase its profit. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – *Ocean Vibes* will be able to reduce the wages of the wildlife tour guides • **Option 2** – Reducing commission from 5% lowers the total variable costs of the boat tours **AO3** • **Option 1** – This will reduce the fixed costs for *Ocean Vibes* as they will be paying less in salaries for its tour guides and therefore increasing profit • **Option 2** – Assuming the sales team sell the same number of tours, this will increase the profit as cost of sales will be reduced **AO4** • **Option 1** – However, it is possible that part-time employees are less committed to the business if they prefer full time work, which may lead to tour guides leaving *Ocean Vibes* for alternative employment • **Option 2** – However, the sales team may be less motivated to work which may lead to a reduction in the revenue and the profitability of boat tours for *Ocean Vibes*	**(9)**

Type MS · Span of control, chain of command and delegation

Answer 8 of 12 · Question 3 part a · 1 mark

2025 NOV · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Span of control, chain of command and delegation

Answer 8 of 12 · Question 3 part a · 1 mark

2025 NOV · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the new monthly minimum wage after an increase of 3.6%. You are advised to show your working. **Answer**	Mark

Type MS · Span of control, chain of command and delegation

Answer 9 of 12 · Question 2 part d · 3 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for any valid method of motivation in the context of the business. • Job rotation between L.cafe, L.bistro and L.table **(1).** • Job enrichment to give more complex tasks other than just serving customers **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**AO2 - 1 mark** Award 1 mark for any valid responsibility of the finance function in the context of the business. Calculate and pay the wages/salaries of the staff in *L.table* **(1).** Pay suppliers of baking ingredients on time **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (c)	**AO1 - 3 marks** Award 1 mark for identification of a way a business can use penetration pricing, plus 2 further marks for explaining this way, for a maximum of 3 marks. • A business can offer a low price for a new product **(1).** This will entice customers to try the new product in its introduction stage **(1)** and stop them from buying from the competitors **(1).** Answers that list three ways with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Span of control, chain of command and delegation

Answer 9 of 12 · Question 2 part d · 3 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark
2 (d)	**AO1 - 3 marks** Award 1 mark for identification of a reason why a business would have a short span of control, plus 2 further marks for explaining this reason, for a for a maximum of 3 marks. • This will allow the business to have better communication with its employees **(1)** as messages have less levels to go through **(1)** leading to a more productive workforce **(1).** Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (e)	**AO1 - 3 marks** Award 1 mark for identification of a reason why diseconomies of scale may occur, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • The business gets too big **(1)** employees can become demotivated **(1),** which could result in falling productivity levels **(1).** Answers that list more than one reason with no explanation will get a maximum of one mark. **Accept any other appropriate response.**	**(3)**

Type MS · Span of control, chain of command and delegation

Answer 9 of 12 · Question 2 part d · 3 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • Option 1 – Each outlet could match the needs of the local customers. • Option 2 – *Lavender* could use Flow Production to make all its cakes the same for all outlets. **AO3** • Options 1 – The needs of the customers from that area will be met and sales will increase. • Option 2 – Lavender could produce more cakes in less time, thus ensuring supplies to all its outlets. **AO4** • Option 1 – However, there will not be consistencies across all outlets and that will make the movement of employees difficult. • Option 2 – However, flow production is very difficult to change and cannot take in to account regional tastes and if the cakes do not sell then there is a potential for the business to make a loss.	**(9)**

Type MS · Span of control, chain of command and delegation

Answer 9 of 12 · Question 2 part d · 3 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Span of control, chain of command and delegation

Answer 9 of 12 · Question 2 part d · 3 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Type MS · Span of control, chain of command and delegation

Answer 9 of 12 · Question 2 part d · 3 marks

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark

Type MS · Span of control, chain of command and delegation

Answer 10 of 12 · Question 3 part b · 2 marks

2020 NOV · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

3 (a)	**A01 = 1 mark** Award 1 mark for a correct definition of hierarchical structure. • A structure with many levels (1).	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 = 2 marks** Award 1 mark for identifying a reason why *Emirates* would have short chains of command, plus 1 further mark for linking it to the context of the question. • Communication between *Emirates'* employees involved in recycling would be quicker, and therefore, more accurate (1). Communication between these employees will only pass through a few levels before reaching the intended employee (1). **NB** Do not accept a reason that is not in the context of *Emirates.* **Accept any other appropriate response.**	**(2)**

Type MS · Span of control, chain of command and delegation

Answer 10 of 12 · Question 3 part b · 2 marks

2020 NOV · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 = 2 marks** 13,457,776/100 x 12.5 = 1,682,222 (1) 13,457,776 – 1,682,222 = 11,775,554 (1) **OR** 13,457,776 x 0.125 = 1,682,222 (1) 13,457,776 – 1,682,222 = 11,775,554 (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As *Emirates* recycles all waste from its aircraft this is a good marketing technique. • *Emirates* wants to maintain its reputation as a business that cares about the environment and does this by reducing its fuel consumption. **AO3** • *Emirates* has a good record of recycling, which may prove attractive to people who care for the environment. They are more likely to use *Emirates* because of its environmental policies. • Although *Emirates* pollutes the environment by using fuel, it is now reducing that use and, therefore, has become less polluting.	**(6)**

Type MS · Span of control, chain of command and delegation

Answer 10 of 12 · Question 3 part b · 2 marks

2020 NOV · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Span of control, chain of command and delegation

Answer 10 of 12 · Question 3 part b · 2 marks

2020 NOV · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • Option 1 – Increasing special offers encourages more passengers to fly with *Emirates*. • Option 2 – Many passengers will use social media and, therefore, it is a good way to advertise to a large number of potential passengers. **AO3** • Option 1 – This improves sales for *Emirates,* which helps it towards regaining its prime position against its competitors. • Option 2 – It is a quicker, more up-to-date and less expensive way to get information out to passengers and potential passengers. **AO4** • Option 1 – Although special offers help, it is the service and the way passengers are treated that improves the airline's status. • Option 2 – However, there is no control over social media and what is being said about *Emirates* by the users of social media.	**(9)**

Type MS · Span of control, chain of command and delegation

Answer 10 of 12 · Question 3 part b · 2 marks

2020 NOV · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Span of control, chain of command and delegation

Answer 10 of 12 · Question 3 part b · 2 marks

2020 NOV · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Span of control, chain of command and delegation

Answer 11 of 12 · Question 2 part d · 3 marks

2024 JUN · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a possible reason why *TUI* would want to keep its customers loyal in the context of the business • Loyal customers will return to *TUI* when they want to book another one of its hotels, thereby increasing its revenue **(1)** • *TUI* wants its customers to return again and again to purchase different types of cruises thereby increasing revenue **(1)** **NB** Do not accept a possible reason that is not in the context of *TUI*. Accept any appropriate response	**(1)**

Q. No.	State **one** reason why *TUI* would employ casual employees. **Answer**	**Mark**
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid reason why *TUI* employs casual staff in the context of the business • If an employee is off sick at a holiday resort someone is needed to cover the greeting of customers arriving at holiday hotels **(1)** • During busy times when there are many people taking holidays extra employees may be needed to sell tours and excursions **(1)** **NB** Do not accept a reason that is not in the context of *TUI*. Accept any appropriate response	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 11 of 12 · Question 2 part d · 3 marks

2024 JUN · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Q. No.	Explain **one** reason why businesses employ people with disabilities. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a reason why businesses employ people with disabilities, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Employing people with a disability gives them an equal opportunity of working **(1)** which improves their lifestyle **(1)** and develops the skills they have **(1)** • Businesses must follow government legislation relating to disabled people **(1)** if businesses do not follow the legislation **(1)** they can be sued **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Span of control, chain of command and delegation

Answer 11 of 12 · Question 2 part d · 3 marks

2024 JUN · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Q. No.	Explain **one** benefit to a business of having a short chain of command. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of one benefit to a business of having a short chain of command, plus 2 further marks for explaining the benefits, for a maximum of 3 marks. • Communication within a business would be faster **(1)** as there are less levels to go through **(1)** so fewer mistakes may be made **(1)** • A short chain means that workers and managers work closely together. **(1)** Managers are less remote **(1)** and if there is a query it can be answered quickly **(1)** **NB** No marks are awarded for a definition. Answers that list three benefits with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** important piece of information that should be included in a job advertisement in a newspaper. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of one important piece of information that should be included in a job advertisement in a newspaper, plus 2 further marks for explaining the importance, for a maximum of 3 marks. • An address, telephone number or website **(1)** to use for making contact **(1)** this range would give a greater choice to applicants **(1)** • By including the salary in the advertisement **(1)** people will apply if the amount offered is of interest to them **(1)** saving applicants time and effort so they apply for the job they want **(1)** **NB** No marks are awarded for a definition. Answers that list three pieces of information with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Span of control, chain of command and delegation

Answer 11 of 12 · Question 2 part d · 3 marks

2024 JUN · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Q. No.	**Option 1:** competition pricing **Option 2:** promotional pricing Justify which **one** of these two options *TUI* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – If *TUI* uses this method of pricing, then it is like to gain sales for the holiday, as customers will want to book as the price is comparable to other holiday businesses • **Option 2** – Selling holidays and experiences at a cheaper price encourages customers to move from other travel agents to *TUI* **AO3** • **Option 1** – This pricing strategy means that customers have more choice from travel businesses offering this destination as they are all priced at a similar level • **Option 2** – This could mean that *TUI* gains a larger market share of holidaymakers who switch from other travel agents **AO4** • **Option 1** – However, this does not mean that the cost of including this holiday in its brochures is covered, and if *TUI* uses this method, it could lose out financially • **Option 2** – However, promotional pricing may generate sales for the short promotional period, but once the price of the holiday reverts to its normal price sales could reduce	**(9)**

Type MS · Span of control, chain of command and delegation

Answer 11 of 12 · Question 2 part d · 3 marks

2024 JUN · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Span of control, chain of command and delegation

Answer 11 of 12 · Question 2 part d · 3 marks

2024 JUN · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Q. No.	Define the term **multinationals.** **Answer**	Mark

Type MS · Span of control, chain of command and delegation

Answer 12 of 12 · Question 1 part g · 6 marks

2025 JUN · Paper 01 · extract 1 of 6 · find part g in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Current liability** **A –** Current asset - this is not correct because it is something a business owns that can be converted to cash within 12 months **C** – Non-current asset - this is not correct because it is something owned by a business for longer than 12 months **D** – Non-current liability - this is not correct because it is a debt to be paid back longer than 12 months	**(1)**

Question Number	Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A – Skimming** **B –** Competition **-** this is not correct because it is when a business considers its competitors price before setting theirs **C –** Penetration **-** this is not correct because it is when a business charges a low price to begin with before setting its own price **D –** Cost plus - this is not correct because it is adding a percentage to the cost of making the product	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 12 of 12 · Question 1 part g · 6 marks

2025 JUN · Paper 01 · extract 2 of 6 · find part g in this mark scheme extract

Question Number	Which **one** of the following is a role of the human resources department? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Recruiting employees** **A** – Reducing costs - this is not correct because it is the role of finance **B** – Designing products- this is not correct because it is the role of production **C** – Customer Service - this is not correct because it is the role of marketing	**(1)**

Question Number	Which **one** of the following is a benefit to a shareholder of having limited liability? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C – Own possessions are not at risk** **A –** Choosing who buys shares - this is not correct because this is a benefit of owning a private limited company **B –** May build a better relationship with suppliers - this is not correct because it is a benefit of loyalty to a supplier **D –** Employee motivation will increase - this is not correct because it is a benefit of a good relationship with employees	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 12 of 12 · Question 1 part g · 6 marks

2025 JUN · Paper 01 · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Which **one** of the following is the break-even level of output? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is B - 350** **A** – 280 - this is not correct because it is the fixed costs **C** – 420 - this is not correct because it is the fixed costs multiplied by revenue **D** – 616 - this is not correct because it is the revenue added to variable cost per unit then multiplied by fixed costs	**(1)**

Question Number	Which **one** of the following statements from **Figure 2** correctly applies to the gym equipment business? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – it made a profit of €43 765** **A** – It made a loss of €88 400 - this is not correct because it is the total costs **B** – It made a loss of €61 165 - this is not correct because it is (€54 000 + €17 000) – €132 165 **D** – It made a profit of €78 165 - this is not correct because it is €132 165 - €54 000	**(1)**

Question Number	Define the term **trade bloc.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **trade bloc**. • A group of countries that work together to benefit from trade free of barriers **(1)**	**(1)**

Type MS · Span of control, chain of command and delegation

Answer 12 of 12 · Question 1 part g · 6 marks

2025 JUN · Paper 01 · extract 4 of 6 · find part g in this mark scheme extract

Question Number	Define the term **job production.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **job production**. • The one-off production of a customised product to meet a customers' specific needs **(1)**	**(1)**

Question Number	State **one** reason why *Four Fitness* would pay its employees more than the minimum wage. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a reason *Four Fitness* would pay its employees higher than minimum wage. • Its gym instructors are highly qualified and skilled **(1)** **NB** Do not accept a reason that is not in the context of *Four Fitness*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate the total price if five *Four Fitness* members attend the event. You are advised to show your working. **Answer**	**Additional guidance**	Mark
1 (e)	**AO2 - 2 marks** 175 – 12.25 = 162.75 **(2)** 35 x 5 = 175 **(1)** 175 x 0.07 = 12.25 **(1)**	Award full marks for correct numerical answer without working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Span of control, chain of command and delegation

Answer 12 of 12 · Question 1 part g · 6 marks

2025 JUN · Paper 01 · extract 5 of 6 · find part g in this mark scheme extract

Question Number	Explain **one** impact to a business of providing fringe benefits to employees. **Answer**	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for an impact to a business of providing fringe benefits to employees, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Lower staff turnover **(1)** which reduces recruitment costs **(1)** as they will not need to find new employees **(1)** **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Analyse the effectiveness of the wide span of control used by Gianni Polvani. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks** **AO3 = 3 marks** **AO2** • Gianni will be able to empower his employees directly within the gym as there are no layers between him and them • 14 employees may be too many for Gianni to manage himself especially as he has two gyms to run **AO3** • Employees will be more motivated as decisions will be made quicker and this will encourage them to take ownership of their own work resulting in them bringing in new ideas to the gym • He may not be able to spread his time evenly between all the workers which could lead to lower productivity levels because of this reduced supervision	**(6)**

Type MS · Span of control, chain of command and delegation

Answer 12 of 12 · Question 1 part g · 6 marks

2025 JUN · Paper 01 · extract 6 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	State **one** factor *Four Fitness* may consider when choosing a location for its new gym. **Answer**	**Mark**